DATA VISUALIZATION

VCs love to claim they're independent thinkers. The data is more complicated.

By Rosie Bradbury

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Silicon Valley famously rewards outliers.

Greylock Partners' Reid Hoffman invested in Airbnb—now an $87 billion publicly traded company—when seven other firms had turned the nascent startup down. First Round Capital's Rob Hayes turned the firm's seed investment in Uber into a 5,000x return.

But top VCs aren't always such bold contrarians, according to a new data analysis by PitchBook. It found that the top 20 US firms collaborated with at least one peer in an average of 38% of deals.

The top 20 firms were ranked according to PitchBook's **Emerging Tech Indicator**, which assesses VC firms' investment performance based on exit rates, follow-on rates and the average annualized valuation step-up after the initial check. We then analyzed each of those top 20 firms' deals over the past decade to identify how often each invested alongside its peers.

Benchmark has the highest syndication rate of the top 20 firms: On average over the past 10 years, 55% of deals it led or participated in have included another top 20 firm.

Redpoint Ventures had the second-highest syndication rate, with a 49% average.

The analysis focused on VCs with significant early-stage strategies, where investors can't rely as much on an existing cap table as a positive signal.

Nearly 2 out of every 5 deals done by a top 20 firm will be done alongside another top-20 firm. That figure has ticked up in the last couple years, potentially reflecting the increasing concentration of capital in the top 20 firms.

But between firms, there's still huge variance between how inclined they are to invest alongside one of their peers rather than strike out on their own. Two-thirds of Benchmark's deals in 2024, for example, included a co-investor from one of the other top 20 firms. For Upfront Ventures, that figure dropped to just 19%.

For some firms, high syndication rates may be due in part to their strategies of investing beyond just the seed stage.

Redpoint managing director Logan Bartlett, who focuses on the firm's investments in Series B and C rounds, argued that as later-stage rounds get bigger, firms with relatively modest fund sizes can be more flexible in writing a smaller proportion of the total check. Bartlett is currently investing out of Redpoint's $750 million "early growth" fund.

"We're solving for what we think is the founders' best interest, which oftentimes is having two partners who are both invested in your success," he said, "Rather than one partner who happened to raise a $3 billion fund and therefore needs the totality of the round because that's how their fund dynamics work."

"I think we've sized our fund so that we can be collaborative with others in the ecosystem," Bartlett added.

Hedging bets

Venture sees the widest spread between the best and worst fund returns of any asset class—the difference in returns between the top and bottom decile funds has historically been around 40 percentage points, per PitchBook data. So it's no surprise that some firms choose to make as many bets as possible or take cues from blue-chip investors to hedge their chances of hitting a winner.

But that can keep them from being unique enough for limited partners. LPs want GPs who can see around the corner, according to Kelli Fontaine, partner at Cendana Capital, which has backed a large number of seed funds.

"Otherwise you're literally just competing with the top 10 [VCs], competing on price and name brand of the firm," she said.

For Fontaine, finding alpha at the seed stage means identifying GPs that have both the right network and a thoughtful approach to picking winners.

Teaming up with other investors usually means a smaller stake in a startup, especially in a buzzy company whose founders can retain more equity. That's especially true at the seed stage.

"Fifteen percent to 20% [ownership] is utopian; it's rarely happening right now," said Akkadian Ventures partner Adam Marchick, who invests in seed venture funds. "[But] I care about funds that earn the right to invest for significant ownership. ... Usually when there are two leads, there's no lead."

The impact on investors' portfolio construction, potential returns and reputation leads some to take the opposite approach.

"For effectively all of the deals that we do, we're the sole lead," said Andy Triedman, partner at Theory Ventures, an AI-focused firm that invests between $1 million to $25 million in early-stage companies.

"If we have the conviction to make an investment, then at that point we've done a ton of research, we can say, 'hey, we want to own as much of the company as we can.'"

Featured image by Adriana Hansen/PitchBook News

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Rosie Bradbury is a senior reporter covering startups and venture capital for PitchBook News. Based in New York, she previously reported for the Bureau of Investigative Journalism, Business Insider and Wired. Rosie studied history and politics at the University of Cambridge.

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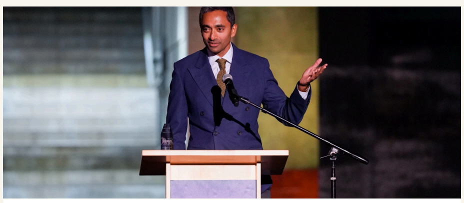

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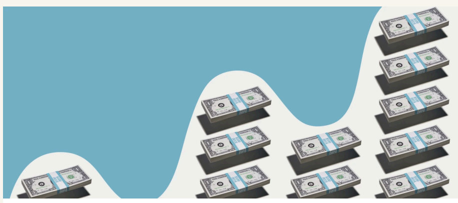

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